

Secretary Morgenthau

Mr. Paul

1. The attached letter addressed to the President by the American Jewish Congress was sent to you by the President for the preparation of a reply. It relates to the proposal of the World Jewish Congress and the American Jewish Congress for the evacuation of thousands of Jewish refugees from Rumania.

2. As you know on July 16 we advised State informally that the Treasury was prepared to approve the necessary transaction and on July 31 you advised Dr. Wise that the Treasury was so prepared.

3. Although a definitive program to deal with this matter has been approved by the Treasury, State has not yet reached a decision on the matter. Upon receipt (on Saturday, July 31) of the letter addressed to the President, we immediately contacted the State Department in an effort to obtain from the State Department a definite decision with respect to their position in the matter. Although we stressed the urgency of the matter to State and have called them on it several times, they have not as yet reached a decision.

4. It appears that Dr. Feis, to whom we have talked several times, has been carrying the ball in State to obtain approval of the proposal. He advised us today that the matter was still on Secretary Hull's desk and that there were certain groups in the State Department who were definitely opposed to the program. We told Dr. Feis that unless the State Department reached a decision immediately it might be necessary for us to advise the President that the Treasury is prepared to approve the proposal but that the State Department had not as yet reached a decision. Dr. Feis

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